Protection Insurers and the use of a fraud register

Introduction

Fraudulent claims are an increasing problem for the financial services industry. According to the Association of British Insurers (ABI) website, in 2023, insurers detected 84,400 fraudulent insurance claims valued at £1.1 billion, across all sectors. It is estimated that a similar amount of fraud goes undetected each year. At the time of writing this, insurers are investing at least £200 million each year to identify fraud. Tackling insurance fraud remains an industry strategic priority. These issues are not just confined to the general insurance industry; they also affect the protection insurance industry and in recent years, we have seen and continue to see increasing numbers of suspicious and fraudulent claims.

No let up in crack down on insurance cheats as industry detects £1 billion worth of fraudulent claims | ABI

We recognise the majority of claims submitted are genuine, unfortunately, experience also tells us there are individuals that try and defraud insurers through several different means, such as:

- *Deliberate/clearly reckless misrepresentation during the application process.*
- *Providing fake or tampered evidence needed to validate a claim.*
- *Falsifying or grossly exaggerating a claim.*
- *Continuing to work while claiming disability cover, such as income protection.*

We as an industry have a duty to our policyholders and wider society to do our best to identify and prevent fraud from taking place. To tackle this issue collaboration between interested stakeholders including external parties is essential.

This document (with the accompanying spreadsheet) sets out some high-level guidance on the areas that claims assessors should be mindful of when assessing claims where fraud is suspected or the potential for fraud is high and in what scenarios cases can be added to the Insurance Fraud Investigation Group (IFIG) intelligence platform. Insurers should however, follow their own internal procedures and risk governance when managing such cases and refer to their Financial Crime (where one exists) and/or legal teams for guidance on managing such claims.

IFIG detail

Established in 1999, the Insurance Fraud Investigators Group (IFIG) is a not-for-profit Specified Anti-Fraud Organisation (SAFO) as defined under the Serious Crime Act 2007. Group membership facilitates intelligence and knowledge sharing for all counter fraud professionals. IFIG's network largely work in, or with, the insurance sector. However, they also welcome guest members, such as the police, HMRC, regulatory and other public bodies.

IFIG focus on

• Collaboration and intelligence sharing across all sectors, made unique by our diverse and inclusive membership
• Investigation and networking
• Complementing other counter fraud bodies and law enforcement
• Knowledge sharing & Integrity

IFIG provide

• Online and live regional and national events, including presentations from fraud experts, training and networking opportunities.
• An intelligence platform, developed and supported by Verisk, a leading data provider to the insurance industry.
• Specified Anti-Fraud Organisation (SAFO) status which allows us to host intelligence from public bodies, including the police.

What's in it for me and my Organisation?

• **You're not alone.** Fraudsters are not brand loyal and move from scam to scam. But IFIG members don't just share intelligence, they can also develop effective tactics and strategies that may support your organisation.
• **Keeping informed.** IFIG's networking and support can help you keep abreast of the latest trends and emerging risks. In turn, this can help you plan for the future.
• **Development.** IFIG's networking opportunities also help grow you and your team's understanding of the fraud issues that face our industry. This can be supported by accredited counter fraud training, to add greater credibility to your counter fraud approach.
• **IASIU:** IASIU now has a UK Chapter, giving you access to a worldwide network of counter fraud investigators.

In the context of fraud challenges such as the cost-of-living crisis and the threat of AI and chat GPT, it's never been more important for counter fraud professionals to tackle fraudsters and protect genuine customers.

IFIG recognise that collaborating and extending intelligence networks is key to this. IFIG also know that fraudsters aren't brand or sector loyal, they target multiple product lines. IFIG think beyond the traditional speciality to speciality fraud intelligence sharing and that sectors learning from each other is fundamental to staying one step ahead of genuine fraudsters.

IFIG have filled a gap in the market by creating an intelligence platform that's accessible to all fraud investigators, including insurers. They integrate industry groups to work together for the same goal. As such, IFIG have created a joined-up, sector wide counter fraud intelligence database. The more members that use the database, the more intelligence can be shared, and the more fraud prevented across all lines of business.

IFIG will now become the UK Chapter for the International Association of Special Investigation Units (IASIU), expanding their members network internationally as we know fraudsters won't be confined by borders, therefore our counter fraud networks shouldn't be either.

Typical claim scenarios

We have outlined a few areas to be mindful of when considering claims and add to the IFIG Database as soon as possible. The list is not intended to be exhaustive and there may be other situations that arise that cause suspicion and these can also be added to the IFIG Database, where good justification exists:

1. **Early duration claims (e.g. < 2 years)** - Whilst early duration would not be a sole reason, claims where the cause of claim and duration of policy in force gives rise to suspicions of potential fraud. (e.g. where claim is unexpected).

2. **Overseas claims** – Those countries outside recommended geographical limits may warrant closer attention. Although location is not a reason itself to have red flags, the market has seen suspicious activity in the following locations in the recent past and so vigilance is recommended.

    1. India
    2. Pakistan
    3. Sub-Saharan Africa
    4. South America
    5. Eastern Europe

    Guidance / confirmation can be sought from Charles Taylor, who track the high-risk countries based on the instructions they receive, year on year. They can provide an updated list of countries or known hotspots where potential for fraud currently exists.

3. **Multiple claims** – Multiple policies in itself may not necessarily be a concern, however assessors should be aware of accumulation of cover in a short period where cover has been taken out just under the non-medical limits of insurer(s).

4. **Excessive cover amounts** - Where the level of cover seems high in relation to the claimant's age, occupation, income, reason for cover, and this raises concerns in respect to the claimant's ability to be able to afford the premium payment.

5. **Suspicious customer supplied evidence** – Close attention should be paid to evidence which appears falsified or fake or where documents may have been altered in some way. This is particularly important with the potential of AI to be used to produce such documents.

6. **Working while claiming disability benefits** - Suspicions of the claimant working while claiming disability benefits, such as income protection

7. **Missing persons for death claims** - This will always be dependent on the circumstances of the claim event and whether a policy has been taken out with the specific purpose to fraudulently claim or is an opportunistic fraud following an event.

    Where a significant global event (Tsunami, earthquake) has occurred, this increases the potential for opportunistic fraud. Care should be taken to verify the appropriate documentation and identify the claimant and ensure they were in the specific location at the time of the incident

8. Any other claim where the claims assessors suspect suspicious behaviour (with good justification for concerns).

What to do if discover / have suspicions of fraud

Sharing of information

Effective data sharing between organisations and across different digital sectors is an important factor in preventing data-enabled scams and fraud.

The UK GDPR and the Data Protection Act 2018 (DPA) **does not** prevent insurers from sharing personal information, where it is appropriate to do so, or from taking steps to prevent harm.

Insurers should:

- Only circulate intelligence where there are reasonable grounds to suspect fraud or criminal activity under Schedule 2 Part 1 of the DPA.

- Only use information received through Intelligence Alerts for the purpose of detecting and preventing fraud or criminal activity and only keep such information for as long as is necessary for such purpose.

To ensure compliance with UK GDPR and the Data Protection Act 2018, insurers need to ensure they are sharing information and acting in good faith. Insurers may wish to obtain legal advice and/or guidance from their in-house Financial Crime/Special Investigation Team (if such a team exists within the organisation).

Adding to IFIG Register

In the event a claim is received, where there are reasonable grounds to suspect fraud, and if your organisation is a member of IFIG having access to their intelligence platform, the relevant information should be added to the IFIG's intelligence platform.

To ensure consistency in approach and appropriate management of information flow (to and from the platform), it is suggested that insurers have a Single Point of Contact (SPoC).

The SPoC will be responsible for adding and updating any information on the intelligence platform.

In the event a claim is not fraudulent, the SPoC should arrange for the information to be removed from the IFIG intelligence platform at the earliest opportunity.

The SPoC is also responsible for checking the IFIG intelligence platform for any potential information matches, and for then to be the contact point in the event other interested parties match information added to the platform.

Collaboration with other insurers, reinsurers and other third parties, including legal and private investigation firms.

When fraud is perpetrated, it is not uncommon for this to be across multiple insurance companies and/or other financial service providers.

When multiple parties are involved, it is important there is strong collaboration with all interested parties. This ensures there is an agreed and joined up approach to the investigation and actions taken. Additionally, where external costs are incurred, these are often shared proportionally by the interested parties How any costs are shared should be agreed before they are incurred.

It would normally be the case that the company with the largest exposure would coordinate any action, this should be agreed at outset.

The Insurance Fraud Enforcement Department (IFED)

IFED was set up in 2012 and is a bespoke unit within the City of London Police dedicated to combatting insurance fraud.

IFED is funded by the insurance industry via the Association of British Insurers (ABI) and has a national remit, investigating insurance fraud throughout **England and Wales**.

More information in respect of IFED can be found here: IFED | City of London Police

Referral to IFED

While IFED are funded by the insurance industry via the ABI, most of their fraud investigation/handling is typically on the General Insurance side.

They can, and do, accept fraud cases from protection insurance. These typically are once the insurer(s) has completed their investigations, determined that there has been clear fraud and they then provide a fully investigated and well-presented file to IFED.

Insurers should consider the merits of the claim before referring to IFED, noting that they work to a higher burden of proof to achieve a criminal conviction (beyond reasonable doubt vs balance of probabilities). They will also consider factors such as the size of the fraud and the chance of achieving a successful prosecution. As a result, they might decide not to take on a claim.

Case study

Below is a case study that showcases how the use of an intelligence register would benefit insurers. It can help insurers identify multiple covers at an early stage that can then assist them in collaborating early and sharing information.

Claimant had 4 Critical Illness policies across the UK market, all taken out within a year of each other. Each insurer was unaware of the other covers in the market

Insurer A – £50,000
Insurer B - £150,000
Insurer C - £100,000
Insurer D - £150,000

Claims were submitted individually to the insurers indicating that the claimant had suffered a heart attack whilst in Pakistan, 18 months after the last policy had incepted. The claimant provided customer supplied evidence (CSE) that corroborated the diagnosis of a heart attack.

Each insurer investigated their claims individually and initially, the evidence appears legitimate. However, one of the insurers identified a number of red flags and so asked overseas investigations to commence.

On the ground intelligence revealed that following:

- The hospital in Pakistan confirmed the hospital form was not completed correctly.
- The doctors listed in the CSE are not associated with the hospital the claimant was allegedly taken to.
- The hospital computer records hold no record of the claimant attending the hospital or being treated there.
- The claimant has subsequently gone to ground and has not been able to be contacted.

With the use of a register, each insurer would have known about the other covers in the market. This would then allow them to collaborate and coordinate with each other. In the event overseas investigations are required, it can also help in sharing costs and consistency of information and that any adverse decisions are coordinated in a timely fashion.